# The Objective in Corporate Finance

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# First Principles

- Invest in projects that yield a return greater than the minimum acceptable hurdle rate.
  - The hurdle rate should be higher for riskier projects and reflect the financing mix used - owners' funds (equity) or borrowed money (debt)
  - Returns on projects should be measured based on cash flows generated and the timing of these cash flows; they should also consider both positive and negative side effects of these projects.
- Choose a financing mix that minimizes the hurdle rate and matches the assets being financed.
- If there are not enough investments that earn the hurdle rate, return the cash to stockholders.
  - The form of returns - dividends and stock buybacks - will depend upon the stockholders' characteristics.

**Objective: Maximize the Value of the Firm**

# Why do we need an objective?

- An objective specifies what a decision maker is trying to accomplish and by so doing, provides measures that can be used to choose between alternatives.
- Why do we need an objective?
  - If an objective is not chosen, there is no systematic way to make the decisions that every business will be confronted with at some point in time.
  - A theory developed around multiple objectives of equal weight will create quandaries when it comes to making decisions.
  - The costs of choosing the wrong objective can be significant.

# Characteristics of a Good Objective Function

- It is *clear and unambiguous*
- It comes with a *clear and timely measure* that can be used to evaluate the success or failure of decisions.
- It *does not create costs for other entities or groups* that erase firm-specific benefits and leave society worse off overall. As an example, assume that a tobacco company defines its objective to be revenue growth.

# The Objective in Decision Making

- In traditional corporate finance, the objective in decision making is to maximize the value of the firm.
- A narrower objective is to maximize stockholder wealth. When the stock is traded and markets are viewed to be efficient, the objective is to maximize the stock price.
- All other goals of the firm are intermediate ones leading to firm value maximization, or operate as constraints on firm value maximization.

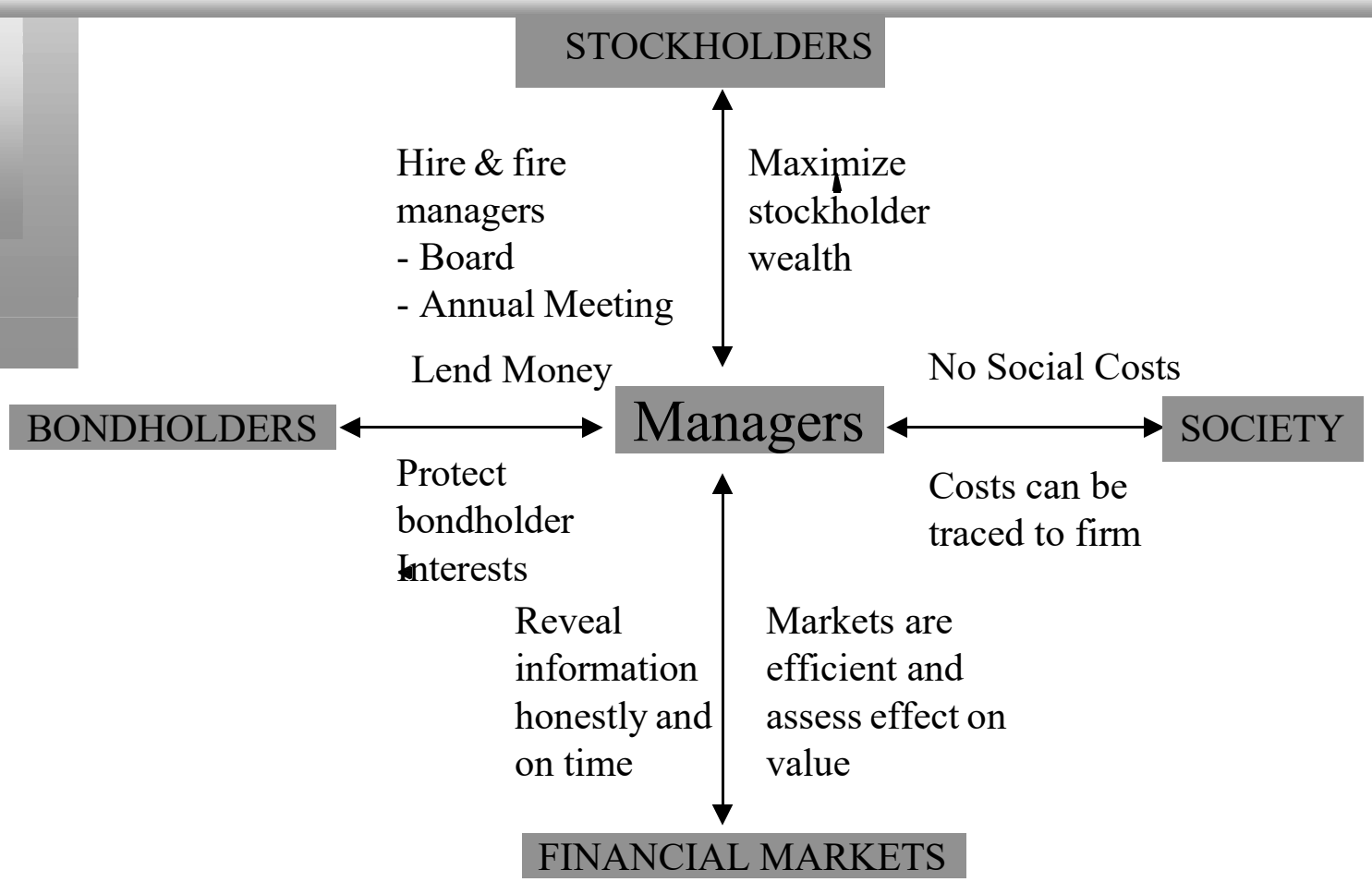
# Why traditional corporate financial theory often focuses on maximizing stock prices as opposed to firm value

- Stock price is easily observable and constantly updated (unlike other measures of performance, which may not be as easily observable, and certainly not updated as frequently).
- If investors are rational (are they?), stock prices reflect the wisdom of decisions, short term and long term, instantaneously.
- The stock price is a real measure of stockholder wealth, since stockholders *can sell their stock and receive the price now*.

# Maximize stock prices as the only objective function

- For stock price maximization to be the only objective in decision making, we have to assume that
  - The decision makers (managers) are responsive to the owners (stockholders) of the firm
  - Stockholder wealth is not being increased at the expense of bondholders and lenders to the firm; only then is stockholder wealth maximization consistent with firm value maximization.
  - Markets are efficient; only then will stock prices reflect stockholder wealth.
  - There are no significant social costs; only then will firms maximizing value be consistent with the welfare of all of society.

# The Classical Objective Function



# Another Way of Presenting this is...

**Why Stock Price Maximization Works**

Stockholders hire managers to run their firms for them

↓ *Because stockholders have absolute power to hire and fire managers*

Managers set aside their interests and maximize stock prices

↓ *Because markets are efficient*

Stockholder wealth is maximized

↓ *Because lenders are fully protected from stockholder actions*

Firm Value is maximized

↓ *Because there are no costs created for society*

Societal wealth is maximized

# The Agency Cost Problem

- The interests of managers, stockholders, bondholders and society can diverge. What is good for one group may not necessarily for another.
  - Managers may have other interests (job security, perks, compensation) that they put over stockholder wealth maximization.
  - Actions that make stockholders better off (increasing dividends, investing in risky projects) may make bondholders worse off.
  - Actions that increase stock price may not necessarily increase stockholder wealth, if markets are not efficient or information is imperfect.
  - Actions that makes firms better off may create such large social costs that they make society worse off.
- Agency costs refer to the conflicts of interest that arise between all of these different groups.